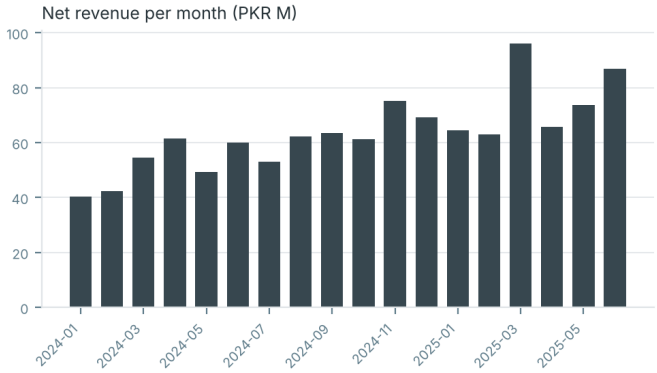
NexusMart – Executive Summary & Business Insights

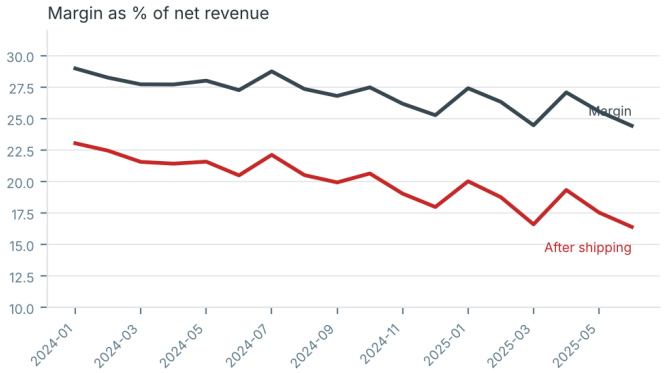
Data: 1 Jan 2024 – 30 Jun 2025 · 159,899 orders / 314,909 order lines after cleaning · PKR · metric definitions exactly as in the brief (section 9). Source: PostgreSQL star schema built by the Airflow pipeline.

Net Revenue	NMV	Gross sales	Margin	Orders	AOV	Units	Return rate	Cancel rate	Active cust.
1,142.4M	**1,200.0M**	**1,436.5M**	**304.9M (26.7%)**	**145,297**	**8,259**	**469,634**	**5.15%**	**9.13%**	**31,518**

The headline: revenue doubled, profitability did not

Monthly net revenue grew from 40.4M (Jan-24) to 86.9M (Jun-25), +115%. Over the same period the margin rate fell: H1-2024 vs H1-2025 margin 27.9% → 25.7%, and after courier costs 21.6% → 17.9%. The category mix barely changed (Electronics stayed at about 35–37% of revenue every month), so mix does not explain the fall. Two cost lines do: **discounts** rose from 4.7% to 10.5% of gross sales, and **shipping** rose from 6.3% to 7.8% of revenue. The share of discounted orders went from 19% to 40%.



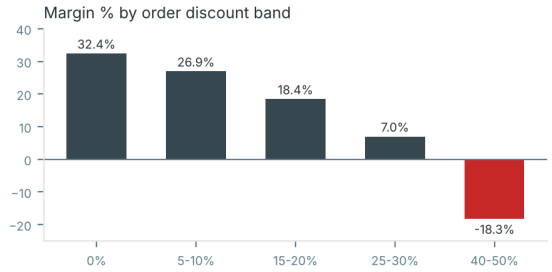


Answers to the 15 business questions

1. Core performance	Electronics generates the most revenue (413.1M, 36.2%) but only an 8.5% margin. Fashion is the largest profit pool (94.4M at 42.3%). Beauty & Personal Care has the highest margin rate (47.3%). Grocery (8.9%) loses money once shipping is included (-2.6M).
2. Geography	Punjab: 48.8%, Sindh: 28.3%, Khyber Pakhtunkhwa: 10.2%, Islamabad Capital Territory: 7.3%; smallest are Gilgit-Baltistan: 0.8% and Azad Jammu & Kashmir: 0.9%. The top 5 cities (Karachi, Lahore, Islamabad, Rawalpindi, Faisalabad) account for **51.4%** of revenue; Karachi alone is 19.0%. The 6 metro cities take 54.9%, and the 634 Tier-3 towns take 29.6% together. The smallest city is NagarChak (17,594).
3. Revenue trends	Average month-over-month growth is +6.4%, but growth is uneven. Spikes come from events: Mar-25 +52.6% (Ramadan) and Nov-24 +22.9% (11.11 / Black Friday). Each is followed by a pullback (Apr-25 -31.5%).
4. Returns & cancellations	The return rate is 5.15% and stable between 5.0% and 5.7% a month. The Jun-25 figure (3.98%) is low only because recent orders have not finished their return window. The cancellation rate is 9.13% and rising: 7.91% in Q1-24 vs 9.99% in Q2-25.
5. Profitability	Net revenue is 79.5% of gross sales. Fashion keeps the least (76.2%) because refunds are 7.6% of its gross; Footwear keeps 77.6%. Every other category keeps 80–81%, losing about 9% to cancellations and 7% to discounts.
6. Customer value	Observed CLV is **PKR 36,172** of net revenue per active customer (median 18,379; margin 9,657; 4.6 orders). The repeat-purchase rate is 71.8% and almost the same across regions (71.0–72.7%). It differs a lot by category: repeat buying within the category is highest for Mobile (52.4%) and Fashion (51.9%) and lowest for Automotive (13.4%).
7. Segmentation	**Champions** are 6,298 customers (19.5%) and generate 54.8% of revenue (624.7M). Hibernating is the largest segment (29.2% of customers) but brings only 8.7% of revenue. At Risk (3,072 customers, 97.6M) is the priority for win-back.
8. Seller performance	Quality score (0–100) = 35% revenue + 25% low returns + 25% on-time + 15% low cancellations, each scored as a percentile among the 361 sellers with at least 100 order lines. Best: Al-Noor Collection 46 (88.4); worst: Pak Collection 16 (13.2). Tier tracks size, not quality: Gold sellers earn 7.0M each vs 1.6M for Bronze, yet Gold returns (5.34%) are no lower and on-time rates are the same (about 76%).
9. Delivery performance	On-time is defined as delivered within 5 days of the order (about the 70th percentile of delivery time). 76.2% of lines are on time. Late lines are returned more often (6.17% vs 4.84%), and 8–10 day deliveries reach 6.97%. The six couriers perform the same (average 4.28 days each), so delivery speed is driven by geography, not by courier choice.
10. Product quality	64 products are both top-20% sellers and returned at least 2× the average rate: 55 Fashion and 7 Footwear. They are concentrated: 4 sellers (Rehman Traders 67, Lahore Imports 66, Habib Store 43, Crown Enterprises 11) own 30 of them, have return rates of 14–16%, and account for 10.5% of all returns on 3.5% of revenue.

11. Seasonality	Daily revenue vs a regular day: 11.11 +213%, Black Friday +148%, Ramadan +38%, 14 August +33%, Eid-ul-Adha +10%, Eid-ul-Fitr -4%. Return rates do not rise at events (5.2–5.4%). Cancellations do rise around Eid (Fitr 12.9%, Adha 11.5% vs 9.2% on regular days).
12. Discounts	Discounts reduce margin without raising order value. AOV after discount falls from 8,707 (no discount) to 6,249 (25–30%), and margin falls from 32.4% to 7.0%. 40–50% codes run at **-18.3% margin** (a loss of PKR 11.4M) and have more returns (6.25% vs 5.09%) and more cancellations (11.0% vs 9.1%).
13. Delivery times	Yes. The slowest provinces have the highest cancellation and return rates: Gilgit-Baltistan 5.93 days / 55% on-time / 12.7% cancelled; AJK 5.73 / 11.4%; Balochistan 5.35 / 10.6%. Compare Islamabad: 3.44 days / 90% on-time / 7.4% cancelled.
14. Payment methods	COD is 52.1% of orders and is cancelled **13.9%** of the time, vs 3.9–4.1% for prepaid methods. Return rates are the same across methods (5.0–5.3%). Data quality is part of the story: the payment method came in 21 spellings, 3% of orders are split across two payments, and prepaid cancellations are recorded as 'Refunded' payments while COD cancellations are 'Cancelled'. Counting 'Refunded' payments as returns would therefore overstate returns and hide prepaid cancellations, so cancellations are taken from order status.
15. Overall profitability	See the headline above: discount depth and courier cost per order rose while basket size stayed flat. Shipping cost per shipped order went from PKR 475 to 585 (+23%) while AOV stayed at about 8,200. A further PKR 3.3M was spent shipping 5,889 orders that were then cancelled.

Three actions for leadership



1. Cap discount depth. Retire 40–50% codes (–18% margin, PKR 11.4M lost, more returns and cancellations) and limit codes on thin-margin Electronics and Grocery. Discounts doubled as a share of gross (4.7% → 10.5%) without lifting AOV. Target: bring discounts back to about 5% of gross.

2. Reduce COD cancellations. COD orders are cancelled 3.5× as often as prepaid orders (13.9% vs about 4%), and PKR 3.3M of shipping was spent on cancelled orders. Use prepaid incentives (wallet cashback in place of blanket codes), confirm COD orders by phone before dispatch, and require prepayment in the slow, high-cancellation provinces (GB, AJK, Balochistan).

3. Cut courier cost and fix Fashion return hot-spots. All six couriers perform identically, so re-tender on price: the cost per order rose 23%. Put the 4 Fashion sellers with 14–16% return rates on a quality/size-guide improvement plan with return-rate thresholds tied to listing visibility.

Notes: margin = net revenue − cost of goods on kept lines. Margin after shipping also deducts courier fees, which NexusMart pays. Rates are line-based for returns and order-based for cancellations. Active customers count de-duplicated customers; orders from 290 customer IDs that are not in the customer file are excluded from that count. Repaired fields are flagged in the warehouse (fact_sales.is_repaired), and all cleaning rules are listed in the Data Quality Report.